

Advisory Memorandum

Nigerian Corporate Tax Exposure for Resident and Non-Resident Entities

Executive Summary

Nigeria operates a broad corporate tax framework that applies to both resident and non-resident entities engaging in its market. Tax exposure is no longer dependent on physical presence; any sustained economic interaction with Nigeria may trigger tax obligations, particularly under Significant Economic Presence rules applicable to digital and cross-border business models.

Objective

This advisory clarifies how Nigeria asserts taxing rights over local and foreign business activities and outlines the practical implications for structuring, compliance, and risk management.

Regulatory Position

Resident companies are subject to tax on worldwide income, while non-resident entities are taxed on Nigeria-source income. Foreign entities may become taxable when they establish a Significant Economic Presence, including through revenue generated in Nigeria, digital targeting of Nigerian users, or the provision of technical, professional, or consultancy services to Nigerian clients.

Practical Interpretation

Regulatory enforcement reflects a clear preference for economic substance over legal form. Offshore structures that lack operational separation, clear revenue attribution, or credible compliance positioning are increasingly vulnerable to scrutiny. Digital and service-based models are the primary focus of enforcement expansion.

Risk Considerations

- Regulatory enforcement and compliance exposure
- Unanticipated tax liabilities and penalties
- Operational friction, including banking and payment constraints
- Reduced credibility with regulators and counterparties

JOPAD Position and Recommended Approach

Nigeria should be approached as an active and assertive tax jurisdiction. Businesses engaging Nigerian customers should adopt a deliberate structuring strategy that:

- Clearly distinguishes Nigerian-source income from offshore revenue

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- Assesses exposure under Significant Economic Presence thresholds
- Aligns entity structure with Nigerian regulatory expectations
- Ensures efficient withholding tax and corporate tax positioning
- Implements documentation and internal controls to support defensibility

Conclusion

Nigeria's tax regime is designed to capture value derived from its market irrespective of where a business is incorporated. The priority is to establish a structure that is compliant, operationally viable, and capable of withstanding regulatory scrutiny while supporting long-term commercial objectives.

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